

Subject Description Form

Subject Code	AAE5114
Subject Title	Aircraft Leasing Management
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	Nil
Objectives	This subject will provide students with: 1. the knowledge of operations and management of the aircraft leasing industry; and 2. the fundamental knowledge of finance, taxation and insurance related to global aircraft leasing industry.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. understand the roles and functions of various airline businesses in aircraft leasing and aviation financing management; b. evaluate the cost-and-benefit in various aircraft trading modes and aircraft leasing approaches; c. understand and appreciate the aircraft leasing business, economics and the management of risks related to aircraft leasing; d. perform risk assessment and management related to aircraft leasing; and e. make recommendations on a leasing transaction.
Subject Synopsis/ Indicative Syllabus	Airline Fleets, Growth and Demand - Aircraft fleet delivery history; Aircraft order forecasts; Aircraft types and markets segmented and Lessor market share. Airline Markets and Segments - Airline categories; Airline business by market (geography); Airline market trends; Airline costs and Airline revenues. Aircraft Lessors - Aircraft leasing, background and history; Aircraft lessors by size, shape, portfolio, shareholder; Aircraft leasing – key performance factors and Aircraft leasing – habitual base jurisdictions. Aircraft Leasing Economics - Individual aircraft lease financial modelling; Aspects of portfolio aircraft lease financial modelling and Accounting and Auditing mark to market valuation. Aircraft Leasing Risk Management - Aircraft general rating; Aircraft specifications and value; Airline risk, not just credit; Aircraft lease transaction risk; Aircraft lease portfolio risk and Aircraft lessor enterprise risk. Aircraft Lease Risk Investment Submission / Committee - Assist to prepare an aircraft lease transaction investment submission for

	discussion, review and approval decision and to conduct the corresponding aircraft lease transaction investment review committee, findings and recommendations.						
Teaching/Learning Methodology	Teaching is conducted through class lectures, which will provide the theoretical foundation and practical insights into aircraft leasing management. Case studies will be included in the lectures to analyze real-world scenarios and develop problem-solving skills.						
	Teaching/Learning Methodology	Outcomes					
		a	b	c	d	e	
	Lecture	√	√	√	√	√	
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)				
			a	b	c	d	e
	1. Assignment	40%	√	√	√	√	√
	2. Final examination	60%	√	√	√	√	√
	Total	100 %					
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Overall Assessment: 0.4 × Continuous Assessment + 0.6 × Final Examination The continuous assessment (40%) is aimed at enhancing the students’ comprehension and assimilation of various topics of the syllabus via assignment. The final examination (60%) will also be considered to assess the students’ learning outcomes.						
	Student Study Effort Expected	Class contact:					
▪ Lecture				39 Hrs.			
Other student study effort:							
▪ Self-study				66 Hrs.			
Total student study effort				105 Hrs.			

Reading List and References	1. Anyafo, A. (2018). Buy or Lease Decision in Fixed Assets Acquisition in the Nigerian Civil Aviation Industry. <i>Journal of Administration</i>, 1(1). 2. Coulter, J. M., Redpath, I. J., & Vogel, T. J. (2018). Leasing Agreements in the Airline Industry: A Case Study Examining the Impact of Asu 2016-02. <i>Journal of Business and Educational Leadership</i>, 7(1), 114-123. 3. Donald H. Bunker. <i>International Aircraft Financing</i> (Volume 1 – General Principles and Volume 2 – Specific Documents). 4. Gillen, D., & Morrison, W. G. (2015). Aviation security: costing, pricing, finance and performance. <i>Journal of Air Transport Management</i>, 48, 1-12. 5. Keaveny, C., & Murray, S. (2013). Aviation finance and leasing. <i>Offshore Investment</i>, 239, 12-14. 6. Mann, E. D. (2009). Aviation finance: An overview. <i>Journal of Structured Finance</i>, 15(1), 109. 7. Murphy, R., & Desai, N. (Eds.). (2011). <i>Aircraft financing</i>. Euromoney Books. 8. Morrell, P. S. (2013). <i>Airline finance</i>. Ashgate Publishing, Ltd. 9. Vasigh, B., Fleming, K., & Humphreys, B. (2014). <i>Foundations of airline finance: Methodology and practice</i>. Routledge. 10. Vitaly S. Guzhva, Sunder Raghavan, Damon J. D'Agostino (2018). <i>Aircraft Leasing and Financing: Tools for Success in International Aircraft Acquisition and Management</i>. Elsevier Science. 11. Wensveen, J. (2018). <i>Air transportation: A management perspective</i>. Routledge. 12. Kinnison, Harry A., and Tariq "Terry" Siddiqui (2013). <i>“Aviation Maintenance Management</i>. 2nd ed. New York: McGraw-Hill Education.
------------------------------------	---

Apr 2024